HEALTHIER LONGER BETTER LIVES

ANNUAL REPORT 2020

AIA GROUP LIMITED 友邦保險控股有限公司

STOCK CODE 1299

OUR PURPOSE

Our Purpose is to help people live Healthier, Longer, Better Lives.

ABOUT AIA

AIA Group Limited and its subsidiaries (collectively "AIA" or the "Group") comprise the largest independent publicly listed pan-Asian life insurance group. It has a presence in 18 markets – wholly-owned branches and subsidiaries in Mainland China, Hong Kong SAR[1], Thailand, Singapore, Malaysia, Australia, Cambodia, Indonesia, Myanmar, the Philippines, South Korea, Sri Lanka, Taiwan (China), Vietnam, Brunei, Macau SAR[2] and New Zealand, and a 49 per cent joint venture in India.

The business that is now AIA was first established in Shanghai more than a century ago in 1919. It is a market leader in Asia (ex-Japan) based on life insurance premiums and holds leading positions across the majority of its markets. It had total assets of US$326 billion as of 31 December 2020.

AIA meets the long-term savings and protection needs of individuals by offering a range of products and services including life insurance, accident and health insurance and savings plans. The Group also provides employee benefits, credit life and pension services to corporate clients. Through an extensive network of agents, partners and employees across Asia, AIA serves the holders of more than 38 million individual policies and over 16 million participating members of group insurance schemes.

AIA Group Limited is listed on the Main Board of The Stock Exchange of Hong Kong Limited under the stock code "1299" with American Depositary Receipts (Level 1) traded on the over-the-counter market (ticker symbol: "AAGIY").

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Notes:

(1) Hong Kong SAR refers to Hong Kong Special Administrative Region.

(2) Macau SAR refers to Macau Special Administrative Region.

(3) Explanations of certain terms and abbreviations used in this report are set forth in the Glossary.

AIA AT-A-GLANCE

The only international life insurer headquartered and listed in Hong Kong and

100% FOCUSED ON ASIA

THE LARGEST LISTED COMPANY ON THE HONG KONG STOCK EXCHANGE

which is incorporated and headquartered in Hong Kong

NO.1 WORLDWIDE FOR MDRT REGISTERED MEMBERS

The only multinational company to top the table for six consecutive years

Serving the holders of more than

38 MILLION

individual policies and over

16 MILLION

participating members of group insurance schemes

PRESENCE IN 18 MARKETS

PAID MORE THAN US$16 BILLION

benefits and claims during 2020, providing vital financial support for customers

Provides protection to people across Asia with total sum assured of almost

US$2 TRILLION

免费义诊

快速 全国专家24小时在线义诊
科学区分普通感冒和肺炎疫情

安全 减少挤医院交叉感染几率
减轻线下医院负荷

免费 在线咨询费用全免
患者没有经济负担

Virtual COVID-19 Clinic

บริการปรึกษาแพทย์ออนไลน์ สำหรับผู้มีอาการต้องสงสัยโรคโควิด-19

AIA สมิติเวช SAMITIVEJ truedigital

AIA's purpose is to help people live Healthier, Longer, Better Lives. In 2020, COVID-19 presented a new and unprecedented risk to our communities. Our response was swift and comprehensive, including provision of medical supplies to our communities and free insurance coverage to medical frontliners and cleaning workers to give them peace of mind as they risked their lives in the fight against COVID-19. We extended free COVID-related cover to more than 25 million policies and provided US$1 billion of premium support across 12 markets. Over the year we paid more than US$16 billion in benefits and claims, providing essential financial protection when it is needed the most. While the effects of the pandemic are far from over, we will continue to play a supportive role as our communities recover.

The business that is now AIA, was first established by Cornelius Vander Starr in Shanghai in 1919.

Since then, AIA has grown to become the largest independent publicly listed pan-Asian life insurance group, spanning 18 markets and serving the holders of more than 38 million individual policies and more than 16 million group scheme members.

Our contributions have supported the social and economic progress of our markets, while also advancing the reach and impact of life insurance across Asia. We also take pride in the long-term relationships we have developed with our customers and agents; which in many cases have continued for generations.

Guided by our commitment to make a significant, positive impact on our customers and communities across Asia, AIA's purpose is to help millions of people live Healthier, Longer, Better Lives. Our Purpose guides the decisions we make and the actions we take as an organisation – empowering and enabling people to understand and manage their health, while meeting their long-term savings and protection needs. We believe that helping to create a healthier Asia is one of the most important and valuable things we can do for our communities, today and in the future.

2020 MILESTONES

AIA pledges US$100 million to create the AIA Scholarships

AIA announced the establishment of the AIA Scholarships and pledged US$100 million to support 100 undergraduates a year to attend universities in Hong Kong over the next several decades. The AIA Scholarships will support students who have demonstrated a track record of academic excellence and community service, and who need financial support to pursue their studies.

AIA sets up a wholly-owned life insurance subsidiary in Mainland China

AIA successfully converted its business in Mainland China to the first wholly foreign owned life insurance subsidiary in Mainland China in October 2020, following regulatory approval in June 2020. In March 2021, AIA received approval from the China Banking and Insurance Regulatory Commission to begin operations in Sichuan.

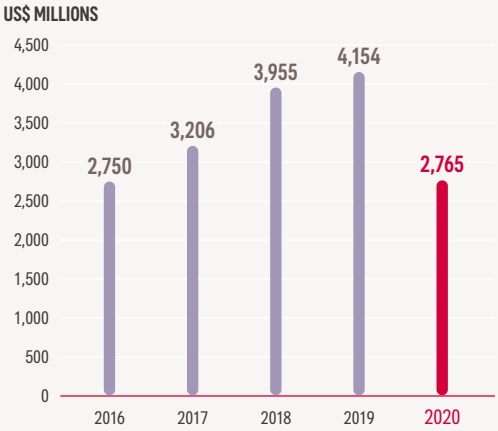
AIA tops the table for sixth year running

AIA became the only multi-national company in the world to rank number one in terms of the largest number of Million Dollar Round Table registered members for six consecutive years.

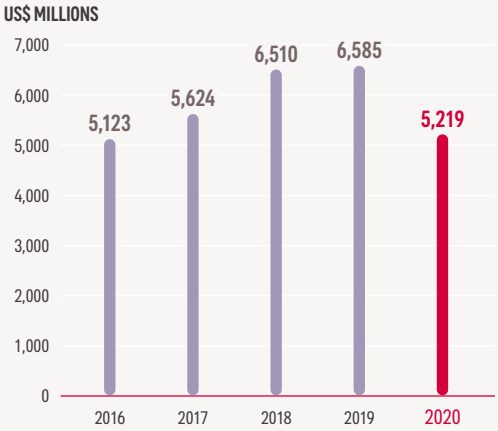
MDRT®

2020 RESULTS AT-A-GLANCE[1]

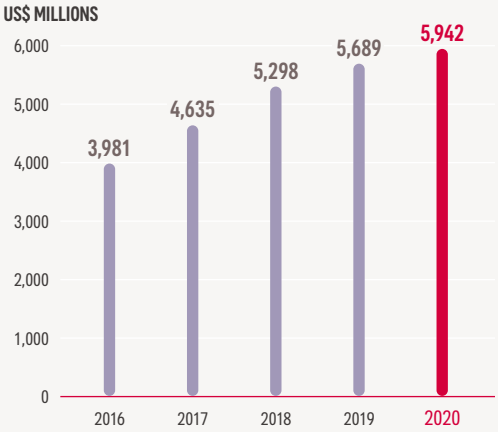
VALUE OF NEW BUSINESS[2][8]



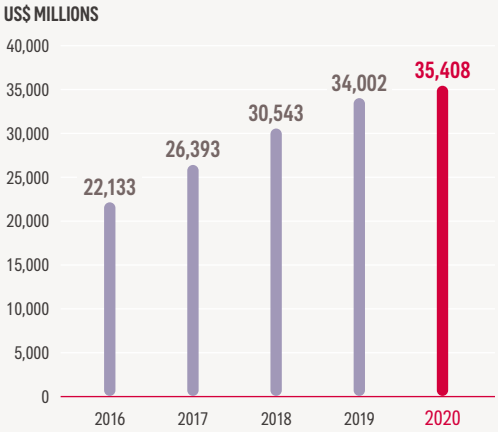
ANNUALISED NEW PREMIUMS[3][8]



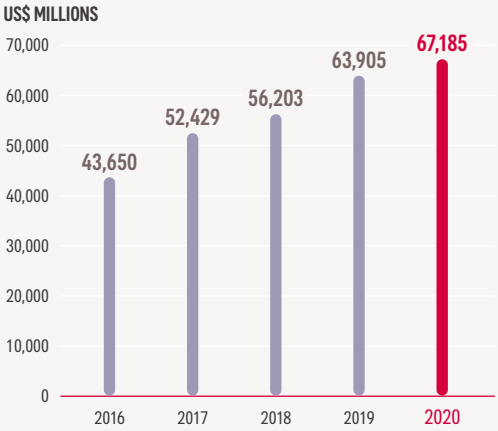
OPERATING PROFIT AFTER TAX[4][9]



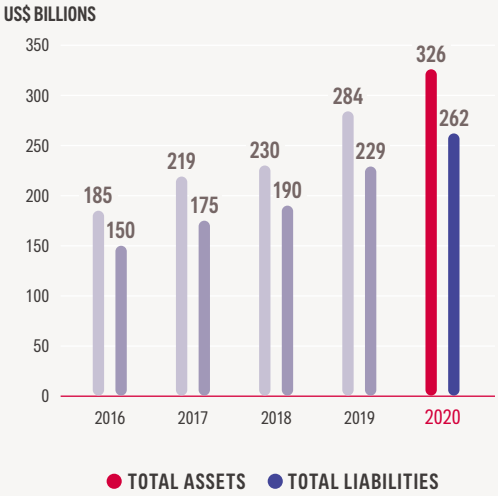
TOTAL WEIGHTED PREMIUM INCOME[5]



EV EQUITY[6]

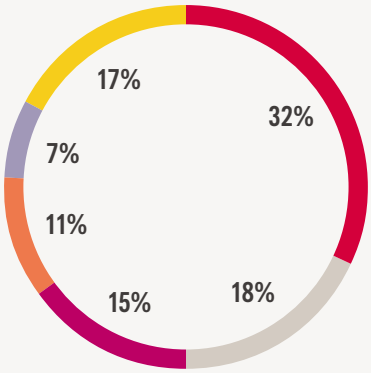


TOTAL ASSETS AND TOTAL LIABILITIES[9]

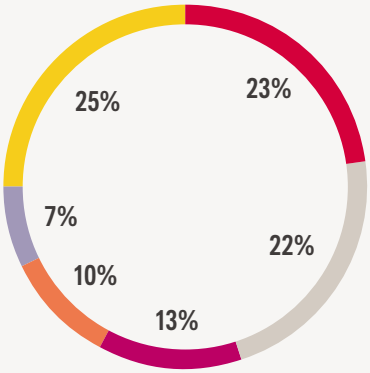


2020 BREAKDOWN BY MARKET SEGMENT

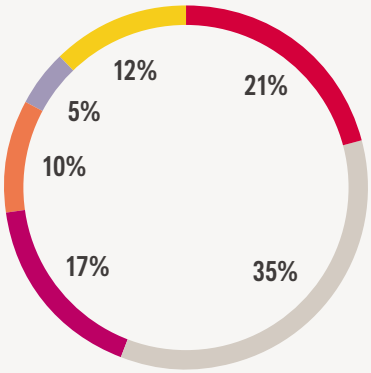
VALUE OF NEW BUSINESS[2][7]



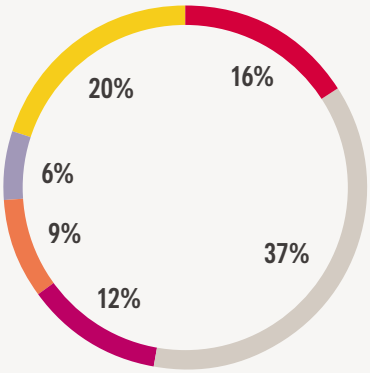
ANNUALISED NEW PREMIUMS[3]



OPERATING PROFIT AFTER TAX[4]



TOTAL WEIGHTED PREMIUM INCOME[5]



● MAINLAND CHINA ● HONG KONG ● THAILAND ● SINGAPORE ● MALAYSIA ● OTHER MARKETS

Notes:

(1) The financial information from 2017 onwards is presented on the 31 December financial year-end basis. The financial information in 2016 is presented on the 30 November financial year-end basis.

(2) Value of new business (VONB) is the present value, measured at the point of sale, of projected after-tax statutory profits emerging in the future from new business sold in the period less the cost of holding the required capital in excess of regulatory reserves to support this business.

(3) Annualised new premiums (ANP) is a measure of new business activity that is calculated as the sum of 100 per cent of annualised first year premiums and 10 per cent of single premiums, before reinsurance ceded.

(4) Operating profit after tax (OPAT) is shown after non-controlling interests.

(5) Total weighted premium income (TWPI) consists of 100 per cent of renewal premiums, 100 per cent of first year premiums and 10 per cent of single premiums, before reinsurance ceded.

(6) Embedded value (EV) is an actuarially determined estimate of the economic value of a life insurance business based on a particular set of assumptions as to future experience, excluding any economic value attributable to future new business. EV Equity is the total of embedded value, goodwill and other intangible assets.

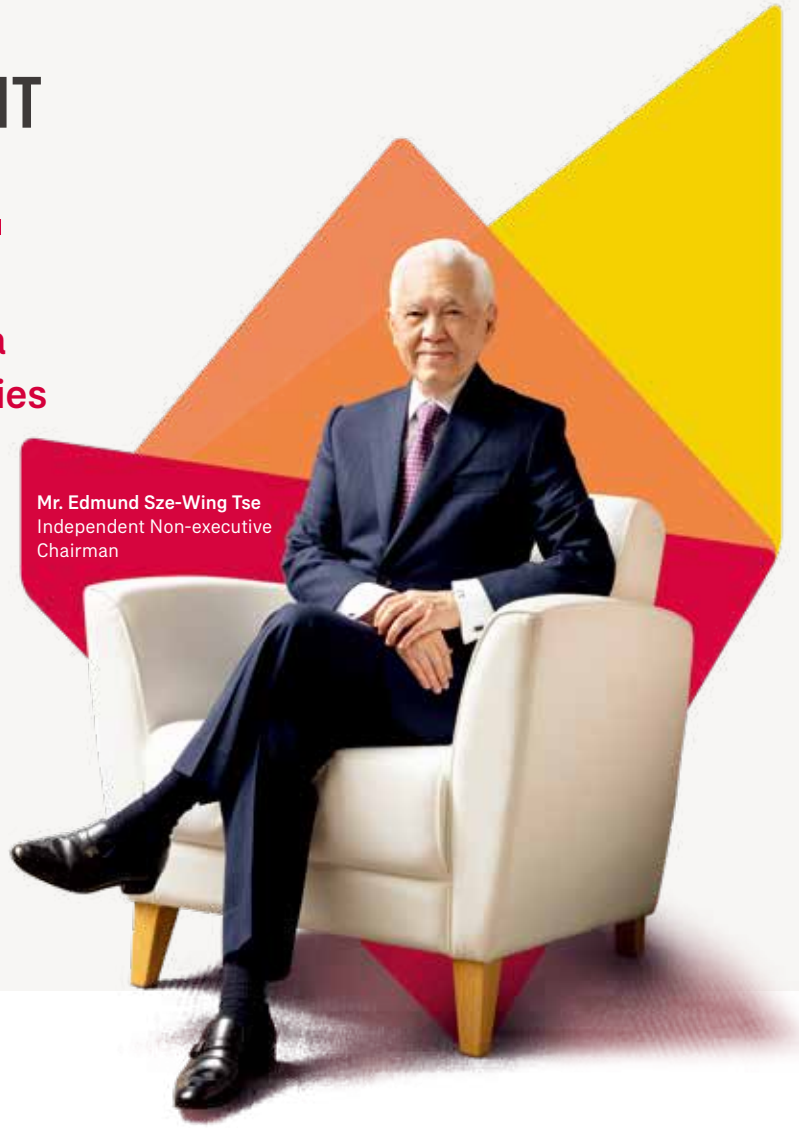
(7) Based on local statutory basis, before unallocated Group Office expenses and deduction of the amount attributable to non-controlling interests, VONB by segment includes pension business.

(8) From 2019 onwards, ANP and VONB for Other Markets include the results from our 49 per cent shareholding in Tata AIA Life Insurance Company Limited (Tata AIA Life). ANP and VONB for 2018 and before have not been restated and do not include any contribution from Tata AIA Life. The VONB for the Group from 2019 onwards excludes the VONB attributable to non-controlling interests. VONB for 2018 and before have not been restated and are reported before deducting the amount attributable to non-controlling interests, as previously disclosed. The IFRS results of Tata AIA Life are accounted for using the equity method. The results of Tata AIA Life are accounted for on a one quarter lag basis in AIA's consolidated results. For clarity, TWPI does not include any contribution from Tata AIA Life.

(9) AIA's IFRS accounting treatment for the recognition and measurement of insurance contract liabilities of Hong Kong participating business has been refined to reflect expected changes to policyholder bonuses. Comparative information has been adjusted for 2019. Comparative information for 2018 and prior years has not been restated.

CHAIRMAN'S STATEMENT

AIA is proud of its reputation built over the last century in Asia on being there for our communities when they need us the most. Our colleagues have responded to the COVID-19 pandemic with care and dedication as we continued to provide uninterrupted support to our millions of customers.



Mr. Edmund Sze-Wing Tse
Independent Non-executive Chairman

Throughout AIA's long history in the region we have managed our businesses through many periods of change and uncertainty, earning our company a reputation which is synonymous with trust, resilience and doing the right thing for our stakeholders. From early 2020, the COVID-19 pandemic presented an ever-changing and complex operating environment and we witnessed unprecedented shifts in politics, macroeconomics and capital markets. AIA's financial strength and Purpose of "helping people live Healthier, Longer, Better Lives" has never been more relevant. I am immensely grateful to all of our employees, agents and partners for their care and dedication, remaining steadfast in supporting our customers, their families, and our communities, through this most challenging time.

New business sales were affected by COVID-19 related containment measures, with value of new business (VONB) reducing to US$2,765 million. Our rapid adoption of new digital tools helped maintain business activity and, together with more recent easing of movement restrictions, led to a robust recovery in sales momentum, which has continued into the beginning of 2021. VONB for the first two months of 2021 grew by 15 per cent compared with the same period in the prior year.

Operating profit after tax (OPAT) increased by 5 per cent to US$5,942 million and underlying free surplus generation (UFSG) grew by 7 per cent to US$5,843 million, reflecting our high-quality, recurring sources of earnings. EV Equity reached a new high of US$67.2 billion. The Group Local Capital Summation Method (LCSM) cover ratio was 374 per cent as at 31 December 2020, demonstrating our resilient capital position and disciplined financial management.

The board of Directors (Board) has recommended a final dividend of 100.30 Hong Kong cents per share, which is an increase of 7.5 per cent, reflecting the strength and resilience of our financial results and the Board's continued confidence in the future prospects of the Group. This brings the total dividend for 2020 to 135.30 Hong Kong cents per share. The Board follows AIA's established prudent, sustainable and progressive dividend policy, allowing for future growth opportunities and the financial flexibility of the Group.

In the fourth quarter of 2020, we celebrated the 10th anniversary of AIA's historic listing on the Hong Kong Stock Exchange. AIA's market debut established new records at the time and remains the largest-ever initial public offering in the global insurance sector. It has been my honour and pleasure to work alongside our Board members as our business has gone from strength to strength over this time to become the largest life insurance company in the world by market capitalisation.

All of the Board's non-executive directors are independent and have extensive governance and leadership experience in the public and private sectors. Together, we are committed to maintaining a culture that upholds the highest international standards of corporate governance. We are firm believers that a strong governance culture, supported by a sound risk management framework, is fundamental to the sustainability of every organisation.

An important responsibility for the Board is to ensure a robust leadership pipeline and effective succession planning. We welcomed Lee Yuan Siong as Group Chief Executive and President on 1 June 2020, following the retirement of Ng Keng Hooi. On behalf of the Board, I would like to thank Yuan Siong and his senior management team for their outstanding stewardship of our businesses in these extraordinary times. We are also very grateful to Keng Hooi for his valuable leadership and substantial contributions to AIA over many years.

The global impacts of Environmental, Social and Governance (ESG) issues continue to be of great significance. We remain committed to playing our part in the transition to a brighter future and our ESG efforts have been recognised again in 2020. The rating agency, Sustainalytics, ranked AIA second in our industry out of more than 270 peers, noting the strength and quality of our corporate governance. Additionally, our ESG Corporate Rating score from Institutional Shareholder Services Inc. (ISS) remains "Prime", placing us among the best in our industry for our sustainability performance. AIA recognises that there is much more we can do in this area to achieve better outcomes for our communities and it remains a personal priority that I share with my Board colleagues, our senior management team and all our employees.

The growing need for AIA's products, services and high-quality advice has never been more evident than it is today. Our strategy builds on the powerful structural drivers of growth prevalent in Asia, underpinned by unprecedented wealth creation, a rapidly expanding protection gap, evolving consumer preferences, the rise of digital technology and a focus on long-term sustainability. The Board remains confident that AIA is extremely well positioned to capture the enormous opportunities available in the region by providing our customers and their families with financial peace of mind at a time when they need it the most, while creating shared value for all our stakeholders.

Finally, AIA's strong performance and growth since our initial public offering would not have been possible without the trust of our customers and shareholders. On behalf of the entire Board, I am deeply grateful for your enduring support.

Edmund Sze-Wing Tse
Independent Non-executive Chairman
12 March 2021

Growth rates are shown on constant exchange rates as management believes this provides a clearer picture of the year-on-year performance of the underlying business.

GROUP CHIEF EXECUTIVE AND PRESIDENT'S REPORT

AIA has delivered another very strong performance reflecting the extraordinary efforts of our outstanding teams. I am extremely proud of how our people have responded in a rapidly changing operating environment. Thanks to their unwavering commitment, we helped our customers navigate uncertainty, while accelerating our strategic plans.

Mr. Lee Yuan Siong
Group Chief Executive and President

AIA is a trusted partner to our customers, providing peace of mind when they are concerned about the financial security and well-being of their families. While the impacts of the COVID-19 pandemic have been far-reaching, my deepest gratitude goes to our employees, agents and partners for their tremendous agility and dedication as they adapted to new working practices and ensured uninterrupted customer support.

Since the onset of the pandemic, our businesses have responded quickly and proactively to help alleviate the impact on our communities, while ensuring the safety of our people. I am immensely proud of the wide-ranging initiatives undertaken including financial support, provision of medical supplies, free protection cover, access to health resources, streamlined services and expedited claim payments. We always look for every reason to pay a claim and, over the year, we paid more than US$16 billion in benefits and claims, providing vital financial protection for our customers.

While value of new business (VONB) was affected by COVID-19 containment measures, reducing to US$2,765 million, we delivered positive sales momentum as movement restrictions eased and made a very strong start to 2021 with 15 per cent year-on-year VONB growth in the first two months. Our large and growing in-force portfolio with high-quality, recurring sources of earnings delivered a 5 per cent increase in operating profit after tax (OPAT) in 2020 and a 7 per cent increase in underlying free surplus generation (UFSG). EV Equity reached a new high of US$67.2 billion and the Group LCSM cover ratio was 374 per cent as at 31 December 2020, demonstrating our robust capital position and disciplined financial management.

The board of Directors (Board) has recommended a 7.5 per cent increase in the final dividend for 2020 to 100.30 Hong Kong cents per share. This follows AIA's established prudent, sustainable and progressive dividend policy, allowing for future growth opportunities and the financial flexibility of the Group.

AIA has many significant advantages that differentiate us from our competitors. We have an unparalleled platform in Asia built up over many decades and hold leading positions in the majority of our markets. Our 100 per cent focus on Asia will not change and enables us to capture the full growth opportunities available in the world's most attractive region for life insurance. This focus, combined with the extensive experience of our leadership team in Asia and the quality of our people, has been an important driver of our success.

Our unrivalled distribution provides direct access to customers, delivering high-quality professional advice to help address the significant and growing long-term protection and savings needs of consumers in Asia. Now more than ever, people expect companies to respond in a way that is aligned with long-term sustainability. AIA has a market-leading brand that is underpinned by our Purpose of helping people live Healthier, Longer, Better Lives.

Our aim is to position AIA as a global leader in the use of technology, embracing greater connectivity, scale and efficiency. Deeper insights from data analytics enable distinctive and personalised customer experiences. Products and services that are relevant and reflect an individual's needs and lifestyle change the way life insurance is perceived and provide a strong basis for developing long-term relationships with our customers.

While 2020 was an unprecedented year, it has made me more optimistic than ever about the prospects for the life insurance industry in Asia and the future of AIA. We continue to challenge ourselves and develop our priorities to ensure that we remain highly relevant to our customers as their expectations and financial needs evolve. Our new corporate strategy builds on AIA's existing strengths and enables the transformation that we will make to best serve our customers well into the future.

2020 PERFORMANCE HIGHLIGHTS

AIA China became the largest contributor to the Group's VONB in 2020 and delivered a successful start to 2021 with very strong VONB growth in the first two months of the year compared with the same period in 2020. While VONB of US$968 million for 2020 was 17 per cent lower than 2019, this was mostly due to limited new sales during the initial outbreak of COVID-19 in the first quarter. OPAT increased by 14 per cent for the year, primarily driven by growth in our in-force portfolio and favourable claims experience.

In 2020, we successfully obtained regulatory approval and completed the conversion of our Shanghai branch to become the first wholly foreign owned life insurance subsidiary in Mainland China. In March 2021, we received approval from the China Banking and Insurance Regulatory Commission (CBIRC) to begin operations in Sichuan. Sichuan is the sixth largest province by GDP in Mainland China and the fourth largest by population, representing a significant long-term growth opportunity for AIA.

In **Hong Kong**, the introduction of travel restrictions from early February 2020 effectively stopped new business sales from Mainland Chinese visitors, leading to a significant fall in VONB. Our agency distribution delivered double-digit sales growth from our domestic customers in the second half compared with the first half and remained the clear market leader. VONB for our partnership distribution channels was significantly lower than 2019 due to a higher historical mix of sales to Mainland Chinese visitors through the retail independent financial adviser (IFA) channel. OPAT increased by 10 per cent from strong growth in renewal premiums and favourable claims experience.

AIA Thailand delivered a very strong performance in the second half. While VONB declined by 4 per cent for the full year, we saw positive month-on-month momentum as movement restrictions eased and achieved 33 per cent growth in VONB in the second half compared with the first half of the year.

Our business in **Singapore** also achieved an excellent recovery in the second half, with VONB up by 56 per cent compared with the first half and a 12 per cent increase year-on-year. VONB reduced by 5 per cent for the full year as growth from our agency channel was offset by the impact of strict border controls on our offshore partnership business. OPAT increased by 8 per cent.

In **Malaysia**, VONB for the full year was down by 13 per cent, reflecting strict movement restrictions implemented in the first half in particular. VONB in the second half recovered with 72 per cent growth compared with the first half.

VONB from **Other Markets** increased by 10 per cent in the second half compared with the first half, with positive recoveries seen in South Korea and Indonesia. Overall, VONB for the full year was lower by 4 per cent mainly due to declines in New Zealand, the Philippines and Indonesia. The rest of the markets delivered positive VONB growth, with Vietnam, Taiwan (China) and India reporting double-digit increases in 2020 compared with 2019.

In our **Agency** channel, we delivered double-digit growth in both new recruits and agency leaders, supported by a shift to online recruitment, onboarding and training. Although VONB declined by 28 per cent as the pandemic limited face-to-face meetings, we saw a strong recovery in the second half as restrictions eased and our businesses adopted new digital tools. Positive momentum has continued into 2021 and agency has delivered very strong growth in VONB for the first two months compared with the same period in 2020.

The impact of travel restrictions on Mainland Chinese visitors to Hong Kong affected our retail IFA business, leading to a decline of 41 per cent in VONB from our **Partnership Business** in 2020. We delivered more resilient results from bancassurance, which contributed the majority of VONB for this channel. Our bancassurance partnerships with Bank Central Asia (BCA) in Indonesia, Bangkok Bank Public Company Limited (Bangkok Bank) in Thailand and Public Bank Berhad in Malaysia delivered positive VONB growth in 2020.

ENGAGEMENT WITH PEOPLE

AIA's 23,000 people are a key competitive advantage for the Group and integral to our sustained success. We promote an inclusive and collaborative learning culture that provides a platform for meaningful and rewarding careers with AIA. In response to social distancing measures and restrictions on travel, we moved our learning content online to the AIA Learning Hub. Our world-class facility in Bangkok, the AIA Leadership Centre (ALC), redesigned and delivered the Group's flagship leadership programmes through over 100 fully virtual learning modules. Participants' feedback for these virtual learning programmes has been very positive and in line with their face-to-face predecessors.

Our annual employee engagement survey is a key indicator of the collective efforts across our markets to better understand and support our people. 97 per cent of our people responded to the survey in 2020 and the Group's employee engagement scores increased to our highest ever, placing us in the 88th percentile of Gallup's global financial services and insurance industry benchmark. AIA was also recognised in the Forbes 'World's Best Employers 2020' list.

In October 2020, as part of the 10th anniversary celebrations of our listing on the Hong Kong Stock Exchange, we established the AIA Scholarships, pledging US$100 million to support 100 undergraduates a year to attend Hong Kong's universities over the next several decades and develop the next generation of business leaders.

The core components of our Organisation of the Future strategy are stronger and simpler organisational structures, the introduction of agile ways of working and enhanced capabilities frameworks. These strategic priorities will support our people as they develop their careers, further elevating AIA's status as an employer of choice.

We started our journey to shape a transformed organisation in the second half of 2020 with two pilot business units: AIA Singapore and AIA Vietnam. Early results have achieved simplified, more customer-centric operating models and we have launched agile working practices with multiple cross-functional specialist teams. Our plan is to test and learn within these pilot businesses before scaling the Organisation of the Future programme across our other businesses.

ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG)

For more than a century, AIA has made a positive, lasting impression on the lives of our customers in Asia. The complexity of ESG issues prevalent in our communities, including climate change, pollution and lifestyle-related diseases, has been heightened by the ongoing pandemic. As a lifelong partner to our customers and communities, we are committed to playing our part in the transition to a better, more sustainable future.

AIA participates in the Task Force on Climate-related Financial Disclosures (TCFD), a global initiative that seeks to develop voluntary and consistent disclosure of climate change impacts. We continued to reaffirm our commitment to the recommendations by engaging with more than 1,400 companies across our investment portfolio in 2020, as well as over 30 external investment managers, in seeking to influence how they manage climate change risks and address their climate impacts.

For the second consecutive year, the rating agency, Sustainalytics has ranked AIA second in the insurance industry for our management of ESG risks and, also in 2020, MSCI upgraded AIA's ESG rating to A, driven primarily by our integration of ESG considerations into our investment function.

We recognise that there is much more we can do in this important area and we have recently completed a review of our ESG strategy. I am confident that our five strategic focus areas of improving health and wellness, green operations, sustainable investment, people and culture, and effective governance will achieve our ambition to be a global industry leader in ESG.

OUTLOOK

The COVID-19 pandemic in 2020 was undoubtedly the largest public health emergency in living memory. Unprecedented fiscal and monetary support to businesses and households affected by the crisis helped reduce some of the extreme financial consequences of the pandemic shock and accelerate recovery, particularly in countries with robust health policies and infrastructure. However, there were considerable differences between countries with the Asia ex-Japan region delivering the strongest relative GDP performance globally in this difficult environment. The global economy is only now starting to emerge from a very deep recession and enter the very early stages of an upturn.

While the effects of the pandemic are far from over, we remain cautiously optimistic as 2021 becomes a year of transition. The hope is that the roll-out of vaccination programmes and new therapeutics reduce both the frequency and severity of the disease so that health systems are better able to cope and mortality rates improve. While we do not envisage a return to pre-pandemic levels of mobility or behaviour in the near term, as consumer confidence returns, we expect the recovery to extend from manufacturing-led sectors to consumption and services over time, particularly in countries with younger populations.

I have great confidence in the long-term future for AIA. Despite near-term uncertainty, the strong domestic drivers of demand and major demographic trends in Asia provide positive structural support for the long-term prospects of AIA's businesses. With rising incomes, low levels of private insurance penetration and limited social welfare coverage, the need for AIA's insurance products will continue to grow. We will build on our substantial competitive advantages and strong track record of growth to shape a more sustainable future for our communities and create shared value for all our stakeholders.

Lee Yuan Siong
Group Chief Executive and President
12 March 2021

Growth rates are shown on constant exchange rates as management believes this provides a clearer picture of the year-on-year performance of the underlying business.

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GROUP CHIEF FINANCIAL OFFICER'S REVIEW

AIA delivered a strong set of financial results in 2020 despite unprecedented business and macroeconomic conditions. While VONB was affected by movement restrictions due to the global pandemic, we achieved solid growth in OPAT, UFSG and EV equity. Our financial position remains very strong, enabling us to continue to invest in the many growth opportunities available to us.

Growth rates and commentaries are provided on a constant exchange rate basis.

SUMMARY AND KEY FINANCIAL HIGHLIGHTS

In 2020 AIA delivered a strong financial performance through the unprecedented business and macroeconomic conditions resulting from the global pandemic. While movement restrictions caused a reduction in value of new business (VONB) in 2020, we saw a recovery in sales momentum as our businesses adapted and restrictions were eased. This momentum has continued into 2021 with 15 per cent growth in VONB for the first two months compared to the same period in 2020. Our financial discipline and consistent strategic focus on high-quality business over many years is reflected in continued growth in operating profit after tax (OPAT) and underlying free surplus generation (UFSG), our robust and resilient capital position and a further increase in dividend per share.

Mr. Garth Jones
Group Chief Financial Officer

The main effect of the pandemic on our financial performance in 2020 was on new business sales, as containment measures in many of our markets limited in-person sales activity, particularly in the first half of 2020. While VONB of US$2,765 million in 2020 was lower by 33 per cent compared to 2019, our rapid adoption of new digital tools and the general easing of movement restrictions supported a recovery in sales momentum. AIA China became the largest contributor to the Group's VONB in 2020 and was the first of our reportable segments to show a recovery in sales momentum as the country emerged from the strict lockdowns in March 2020. VONB for the rest of the Group, excluding sales to Mainland Chinese visitors which remained minimal, recovered strongly in the second half with an increase of 23 per cent compared to the first half of the year. The Group's new business momentum has continued strongly into 2021 with VONB for the first two months 15 per cent higher than for the same period in 2020.

Embedded value (EV) equity reached a new high of US$67,185 million at 31 December 2020, increasing by US$5,277 million before payment of shareholder dividends of US$1,997 million as EV operating profit of US$7,243 million more than offset the effect of lower government bond yields. EV operating profit included US$549 million from positive operating variances as our overall experience has continued to be favourable compared with our EV assumptions.

Our high-quality, recurring sources of earnings and the proactive management of our in-force portfolio drove an increase in OPAT of 5 per cent to US$5,942 million and a stable operating margin of 16.9 per cent. Renewal premiums received increased by 10 per cent, and total recurring premiums accounted for over 90 per cent of premiums received in 2020. OPAT growth was supported by significant positive claims experience throughout the year, which offset the effect of lower yields on new fixed income investments and lower assumed long-term returns on equity investments. As anticipated, the exceptional positive medical claims experience highlighted in the first half was not repeated in the second half, however we continued to see a positive contribution to OPAT growth from this source. Persistency improved in the second half, supported by a normalisation of lapse experience for AIA Thailand, and has remained at 95 per cent for the Group.

UFSG of US$5,843 million increased by 7 per cent, driven by the continued growth and active management of our in-force portfolio, which more than offset the effect of lower expected investment returns. The Group remained financially very strong at 31 December 2020 with free surplus of US$13,473 million, after the payment of US$1,997 million of shareholder dividends.

The solvency ratio of our principal operating entity, AIA Company Limited (AIA Co.), remained very strong at 489 per cent at 31 December 2020. The Group Local Capital Summation Method (LCSM) cover ratio, under the new Group-wide Supervision (GWS) framework, was 374 per cent at 31 December 2020. In future, we will disclose the Group LCSM cover ratio as the principal measure of the Group's regulatory solvency.

The board of directors (Board) has recommended a 7.5 per cent increase in the final dividend to 100.30 Hong Kong cents per share, subject to shareholders' approval at the Company's forthcoming AGM. This brings the total dividend for 2020 to 135.30 Hong Kong cents per share, an increase of 6.9 per cent compared with the total dividend for 2019. This follows AIA's established prudent, sustainable and progressive dividend policy, allowing for future growth opportunities and the financial flexibility of the Group.

We remain confident of the opportunities for AIA's businesses across Asia. We will continue to focus on investing capital to deliver profitable new business growth and leverage our competitive advantages, while maintaining our financial discipline and delivering long-term shareholder value.

NEW BUSINESS PERFORMANCE

VONB, ANP and Margin by Segment

	2020			2019			VONB Change	
US$ millions, unless otherwise stated	VONB	VONB Margin	ANP	VONB	VONB Margin	ANP	YoY CER	YoY AER
Hong Kong	550	44.7%	1,138	1,621	66.1%	2,393	(66)%	(66)%
Thailand	469	71.0%	661	494	67.7%	729	(4)%	(5)%
Singapore	330	63.4%	520	352	65.5%	538	(5)%	(6)%
Malaysia	222	59.9%	369	258	63.1%	406	(13)%	(14)%
Mainland China	968	80.9%	1,197	1,167	93.5%	1,248	(17)%	(17)%
Other Markets	514	38.4%	1,334	535	41.9%	1,271	(4)%	(4)%
Subtotal	3,053	57.7%	5,219	4,427	66.6%	6,585	(31)%	(31)%
Adjustment to reflect consolidated reserving and capital requirements	(103)	n/m	n/m	(87)	n/m	n/m	n/m	n/m
After-tax value of unallocated Group Office expenses	(161)	n/m	n/m	(154)	n/m	n/m	n/m	n/m
Total before non-controlling interests	2,789	52.6%	5,219	4,186	62.9%	6,585	(33)%	(33)%
Non-controlling interests	(24)	n/m	n/m	(32)	n/m	n/m	n/m	n/m
Total	2,765	52.6%	5,219	4,154	62.9%	6,585	(33)%	(33)%

While VONB of US$2,765 million in 2020 was lower by 33 per cent compared to 2019, our rapid adoption of new digital tools and the general easing of movement restrictions supported a recovery in sales momentum. AIA China became the largest contributor to the Group's VONB in 2020 and was the first of our reportable segments to show a recovery in sales momentum as the country emerged from the strict lockdowns in March 2020. VONB for the rest of the Group, excluding sales to Mainland Chinese visitors which remained minimal, recovered strongly in the second half with an increase of 23 per cent compared to the first half of the year. The Group's new business momentum has continued strongly into 2021 with VONB for the first two months 15 per cent higher than for the same period in 2020.

AIA China has delivered a successful start to 2021, with very strong VONB growth in the first two months compared with the same period in 2020. While VONB of US$968 million for 2020 was 17 per cent lower than 2019, this was mostly driven by limited sales volumes during the initial outbreak of COVID-19 in the first quarter. As movement controls eased, new business momentum swiftly improved and resumed our usual seasonal pattern with VONB weighted towards the first half of the year. AIA China became the largest contributor to the Group's VONB in 2020.

AIA Hong Kong's VONB significantly declined as new business sales to Mainland Chinese visitors have effectively been on hold from early February 2020 following the introduction of travel restrictions. VONB margin reduced for the year, reflecting acquisition expense overruns following the fall in new business volumes, a shift in product mix and the impact of lower interest rates. Macau resumed its Individual Visit Scheme with Mainland China from late September 2020, which has supported a return of sales to Mainland Chinese visitors, that contributed over one-third of AIA Macau's total ANP in the fourth quarter.